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A Quarterly Newsletter Highlighting Activities and Events in the Portland Division of Safeway Inc.

WINTER 2006-07

SAFEWAY

LETTER FROM THE PRESIDENT



Fellow Team Members:

I want to wish you all a healthy and prosperous New Year and thank you for your hard work and commitment to superior customer service the past year. The holidays were especially busy and I appreciate your dedication in helping make the holidays memorable and hassle free for our customers.

I especially want to thank every Portland Division employee who helped make our Breast Cancer Awareness Campaign in October an amazing success. The Portland Division raised more money per employee than any other division and shattered its previous fundraising record, raising \$741,721, which was \$221,448 (42 percent) more than last year's total. This followed three equally impressive campaigns in 2006 in which the division raised \$208,463 in August for the Muscular Dystrophy Association, \$503,605 in June for the National Prostate Cancer Foundation and \$346,000 in April for Easter Seals. Your efforts will touch the lives of many people affected by these life-threatening diseases.

Now in October I had the pleasure of unveiling to Portland Division employees our Pro-Employee philosophy, formalizing our commitment to creating a workplace second to none. At Safeway, we believe in individual recognition and open communication with our employees. We are dedicated to treating our employees fairly and to providing good working conditions, competitive wages and benefits, and an environment that allows the respect and dignity each employee deserves. Saying it is one thing, but putting it into action is another. As public testimony of their support, you will be seeing district managers, store managers and the entire division management team wearing Pro-Employee pins symbolizing our commitment to "live it, love it everyday!"

Just as Safeway is committed to its employees, I'd like to remind employees to stay committed to Safeway. Whether you work in retail, warehouse/distribution or the division office, by doing your grocery shopping only at Safeway you are doing more than just helping the company succeed. You are helping your co-workers, your family and yourself succeed.

This year, we'll build on our commitment to providing our customers with a higher level of our legendary service than ever before. In the coming year, I'd like us all to concentrate on areas that are particularly important to our customers, such as having fewer out-of-stocks and shorter checkout lines.

Without its outstanding workforce, Safeway would not only be a great

BREAST CANCER CAMPAIGN BREAKS RECORDS LOCALLY AND NATIONALLY PORTLAND RAISES \$741,721 IN 30 DAYS AND CONTRIBUTES MORE DOLLARS PER EMPLOYEE

This year was a record-breaking year for the Portland Division's "Breast Cancer Awareness Campaign" that ran throughout October. Not only did the Portland Division raise more money per employee than any other retail division in the U.S. and Canada, but each of the districts within the Portland Division exceeded its fundraising goals, something that has never been accomplished before. The 118 stores in the Portland Division raised \$741,721 in 30 days, which represented a 42 percent increase over last year's total.

"I am so proud of our team here in the Portland Division that made the campaign so successful," said Rusty Houston, Division Fundraising Champion and Manager of store #1523 (Woodstock). He attributes the success of the campaign to a strong commitment from senior management, as well as from every employee.

During October, customers were given the opportunity to donate to the cause by purchasing a pink ribbon or pink broochlet (the symbol of breast cancer awareness). Also, clerks encouraged customers to "round up" their total to the nearest dollar and donate their change to the campaign. Individual stores hosted creative fundraising events such as barbecues, used book sales, jewelry sales, golf tournaments and employee "dress-down days." Several of Safeway's vendor partners made donations each time customers purchased specially marked products.



The third year of a new Rusty Houston, Manager of Store #1523 (Woodstock), oversees the Breast Cancer Awareness Campaign in October, and served as Division Fundraising Champion for all four fundraising campaigns.

District 72 led the districts in fundraising, collecting a total of \$92,336. Store #1260 (Seaside) raised the most per store, \$23,233, which was 285 percent of its goal. Raising the most money per employee was store #1230 (Tannerboume), bringing in \$227 per employee.

"The unprecedented success of raising more than \$1.8 million over the last three years is a testament to the energy and creativity of our employees, as well as to the incredible participation of Safeway customers," said Kelly Griffith, President of the Portland Division. "We're helping save hundreds of lives and we won't stop until a cure is found."

Companywide, Safeway raised a record \$8.3 million during the October campaign, bringing the total amount raised to nearly \$25 million since the program began in 2000. Funds are used to fund breast cancer research projects, organizations and educational programs in communities where Safeway operates.

A secondary goal of the campaign is to raise awareness about breast cancer. This was accomplished through public service announcements in Safeway's weekly ad, on grocery bags and Lucerne milk cartons, in messages on Safeway's in-store radio network and through the Safeway.com home delivery service.

For the sixth year, the Portland Division selected the Susan G. Komen Breast Cancer Foundation of Oregon and S.W. Washington as the recipient of the October fundraising campaign. According to Chris McDonald, Executive Director of the local affiliate, 75 percent of those funds will be directed towards community education, screening and treatment programs, with the rest funding national research programs.

"The footprint of the local Komen Foundation is the same as Safeway's, which means that people living in our region will benefit from Safeway's efforts," added Houston.

This advertisement showing Safeway employees and customers associated with the Susan G. Komen Breast Cancer Foundation of Oregon and S.W. Washington was distributed in the November 25 issue of The Oregonian and the January 2007 issue of Portland Monthly magazine.

Thank you

SAFEWAY

Customers and Employees

...for your support
in the fight against breast cancer.

We are grateful to you for your support and participation in the fight against breast cancer. Your support has helped us raise more than \$1.8 million over the last three years. We are grateful to you for your support and participation in the fight against breast cancer. Your support has helped us raise more than \$1.8 million over the last three years.

The Susan G. Komen Breast Cancer Foundation of Oregon and S.W. Washington

Brochures

- Offered in both 8.5"x11" and 8.5"x14"
- Choice of 4 paperstocks
- Available in 2 panel, 3 panel, and 4 panel folds